

breakout price. Using a steep up-sloping neckline to gauge the breakout means price may never close above the neckline (or price will rise too far to trigger an entry).

For down-sloping necklines, a close above the neckline signals a breakout. If price closes below the bottom of the pattern before breaking out upward, then it invalidates the pattern. Head-and-shoulders bottom patterns do not break out downward.

Quite often, price throws back to the neckline and perhaps moves lower before resuming the upward trend. [Figure 40.2](#) shows an example of this behavior during November and even in late December. The December move saw price plunge from a high of 11.50 to 9.44, a decline of almost 20% in just 2 days! When the decline ended, price recovered quickly.

**Confirmation.** Price must break out upward. If it does not, then you don't have a complex head-and-shoulders bottom.

## Focus on Failures

If making money in the stock market is important to you, it pays to study your failures. The lessons learned will serve you for many years. When you look at your failures as a group, you may begin to see trends.

[Figure 40.4](#) shows a typical failure of a complex bottom to reverse the downtrend. After the head-and-shoulders completed, price *did* climb, but only to 57.13. Price inched above the neckline and closed there for just a handful of days before sliding below the neckline in early March. Ultimately, the stock reached 40.63 in August (not shown).

The left shoulder showed tremendous volume. Volume diminished at the dual heads, and the right shoulder showed even less volume. Breakout volume was anemic and may explain why the pattern failed.

If price fails to rise more than 5% after the breakout, before closing below the bottom of the complex bottom, then it's a failure. [Figure 40.4](#), for example, is a 5% failure. The breakout was upward, but price failed to climb far before reversing direction. Once price closed below the head, I knew that there was no hope and marked the pattern a failure.